

CONFIDENTIAL — STRATEGY MEMO

Why we are losing to private banks — and the three things to fix in 24 months

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Executive summary

We analyzed six years of audited financials for India's six largest banks (HDFC, ICICI, Axis on the private side; SBI, PNB, and Bank of Baroda on the PSU side). The data tells a more nuanced story than the consensus "PSUs are dying" narrative.

Three facts matter most. First, the profitability gap is real and structural — private banks earned 1.98% ROA in FY25 against our 1.12%, a gap that has held at ~1 percentage point through the cycle. Second, our NPA clean-up is the genuine PSU success story: gross NPAs fell from 9.92% to 2.68%, narrowing the gap with private peers from 6.04pp to 1.23pp. Third, **the CASA advantage that has anchored the private-bank thesis for two decades just evaporated** — private CASA fell from 47.4% (FY22 peak) to 38.1% (FY25), and in FY25 PSUs (39.6%) actually edged ahead.

The strategic implication: stop fighting the last war (deposits) and start fighting the next one (asset-side pricing and digital underwriting).

FY25 KPI	Private avg	PSU avg	Gap (pp)	Direction
ROA (%)	1.98	1.12	+0.86	Holding ~1pp
Gross NPA (%)	1.44	2.68	-1.23	Narrowing fast
NIM (%)	4.09	3.01	+1.08	Stable spread
CASA (%)	38.10	39.57	-1.47	Flipped — ours

Three things to fix in the next 24 months

1. Stop chasing CASA. Chase NIM. The funding war is over. Private banks lost ~9pp of CASA in three years; we held ours. The deposit-mix battleground does not deserve another rupee of capital. **The next war is on the asset side** — pricing, retail mix, and digital underwriting. Action: shift the loan book mix 5 percentage points from corporate toward high-yield retail (personal, credit card, SMB) over eight quarters; stand up a digital-lending JV with a fintech to underwrite at scale; tie regional-head bonuses to NIM, not asset growth.

2. Defend the NPA gains by re-engineering underwriting. The IBC won the first NPA war. The second will be won by data — bureau scores, GST flows, real-time monitoring. **Action:** cap manual exception approvals at 10% of new sanctions; mandate model-driven decisioning for every loan under ₹5 crore by Q4 FY27; tie 30% of relationship-manager variable pay to vintage NPA performance, not disbursal volume; publish a quarterly underwriting scorecard to the board.

3. Become the bank for Bharat's middle 60%. Private banks own the urban affluent. Fintechs own the digital natives. The 600M middle-income, semi-urban, GST-registered SMB segment is largely under-served — and it is exactly where we have the unfair advantage: branch presence and intergenerational trust. The gap is digital UX. **Action:** rebuild mobile + chat account opening to a 90-second flow; partner with two regional payment-aggregators for SMB collections; target ₹5 lakh crore of new SMB advances by FY28.

Coda — what this means for fintechs

A re-rated PSU is the most underpriced distribution channel in India. The bank with 23,000 branches and 50 crore accounts has 90% of the customer file and roughly 10% of the digital UX. A fintech that productizes underwriting, KYC, or collections as *infrastructure that SBI, PNB, or BOB can rent* captures the upside without funding the balance sheet. The winners of the next decade in BFSI may not be the bank or the fintech — they'll be the picks-and-shovels providers sitting between them.

Methodology & sources

36 bank-year observations (6 banks × 6 years). Absolute values in ₹ crore. Ratios in percentage. Data compiled from each bank's annual report (FY20–FY25), Q4 investor presentations, Equitymaster Annual Results Analysis, and press releases; cross-checked via May 2026 web search. Full SQL queries, Python notebook, and Excel workbook in the accompanying GitHub repository.